ITC Limited - DCF Valuation Summary

(₹ Cr)

I. UNLEVERED FREE CASH FLOW PROJECTION (₹ Cr)	2026	2027	2028	2029	2030
Revenue	80,561	86,214	92,320	98,920	106,058
EBIT	27,201	28,886	30,709	32,684	34,728
NOPAT	20,400	21,665	23,032	24,513	26,046
(+) Depreciation	1,772	1,897	2,031	2,176	2,333
(-) CapEx	2,417	2,586	2,770	2,968	3,182
(-) Change in WC	105	113	122	132	143
FCFF	19,651	20,862	22,171	23,590	25,055
Discount Factor	90%	81%	73%	65%	59%
PV of FCFF	17,658	16,845	16,086	15,379	14,678

(₹ Cr)

II. VALUATION SUMMARY & EQUITY BRIDGE	
Sum of Pv of FCFF	80,646
Terminal Value (2030)	357,560
PV of Terminal Value	209,468
Enterprise Value	290,113
(-) Total Debt	91
(+) Cash & Cash Equivalents	4,012
(+) Current Investments	16,287
(+) Non-Current Inv. (50% Haircut)	9,216
(-) Minority Interest	368
Equity Value	319,169
Shares Outstanding	1,253
Intrinsic Value Per Share	254.73

III. VALUATION ASSUMPTIONS	
Risk Free Rate	7%
Equity Risk Premium	6.50%
Beta	0.75
Cost of Equity (Ke)	**11.88%**
Cost of Debt (Pre-tax) (Kd)	8%
Tax Rate	25%
Debt %	10%
Equity %	90%
WACC	11.29%
Terminal Growth	4%

Conclusion:
Base case value ₹254.73 vs CMP ₹311 → ~18% downside
Sensitivity range varies between ₹216–351 depending on WACC and terminal growth assumptions.
Stock appears overvalued under current assumptions
TV % of EV = 209,468 / 290,113 ≈ 72%
~72% of valuation driven by terminal value → high sensitivity to long-term assumptions

VI. VALUATION SCENARIOS	
Bear	216
Base	254.73
Bull	351

IV. SENSITIVITY ANALYSIS
Implied Share Price

		Terminal Growth Rate →		
Rounded Sensitivity Base	**254.73**	3%	4%	5%
WACC ↓	10%	272	305	351
	11%	241	264	296
	12%	216	234	257

V. OUTPUT	
Intrinsic Value	254.73
CMP	₹ 311
Upside/ Downside	-18%

ITC Limited - Relative Valuation Analysis

(All values in ₹ Cr unless stated otherwise)

Company	CMP	Market Cap	Shares	Debt	Cash	Revenue	EBIT	PAT
ITC Ltd	**311.0**	**394,553**	**1252.95**	**91**	**4,012**	**75,323**	**25,839**	**19,600**
FMCG:								
HUL	2254.0	528,870	234.64	1	7,554	63,121	14,843	10,649
Tata Consumer	1147.7	113,265	98.69	1,849	2,818	17,618	2,479	1,278
Britannia	5729.0	137,921	24.07	1,225	312	17,943	3,176	2,179
Nestle India	1459.0	281,264	192.78	753	96	20,202	4,771	3,315
Tobacco:								
Godfrey Phillips	2251.0	35,111	15.60	29	30	5,611	1,177	1,072
VST Indsutries	258.0	4,389	17.01	-	18	1,398	279	290

Relative Valuation Summery

Company	EV	P/E	EV/EBIT
ITC Ltd	**390,632**	**20.1**	**15.1**
FMCG:			
HUL	521,317	49.7	35.1
Tata Consumer	112,296	88.6	45.3
Britannia	138,834	63.3	43.7
Nestle India	281,921	84.8	59.1
Tobacco:			
Godfrey Phillips	35,110	32.8	29.8
VST Indsutries	4,371	15.1	15.7

Benchmark Statistics

FMCG Benchmarks:	Multiples (x)
Avg P/E	**71.6**
Median P/E	**74.1**
Avg EV/EBIT	**45.8**
Median EV/EBIT	**44.5**

Tobacco Benchmarks:	Multiples (x)
Avg P/E	**23.9**
Median P/E	**23.9**
Avg EV/EBIT	**22.7**
Median EV/EBIT	**22.7**

Valuation Insight:

1. ITC trades at ~20x P/E, below FMCG peers (~72x) but closer to tobacco peers (~24x)
2. Market valuation continues to anchor primarily to the cigarette business
3. FMCG scale and margins remain below premium FMCG peer benchmarks
4. Relative valuation suggests ITC is fairly priced relative to tobacco peers
5. DCF valuation (₹254.73) also indicates limited upside from current levels

Notes:

1. EBIT sourced from Screener operating profit data
2. ITC PAT normalized to exclude hotel demerger gain
3. Financials based on FY25 consolidated data
4. Tobacco benchmarks are more relevant due to higher profit contribution
5. Median multiples used to reduce outlier distortion

IMPLIED VALUATION (ITC):

1. Using Tobacco Avg P/E: ₹ 375
2. Using FMCG Avg P/E: ₹ 1,120

FMCG-based multiples imply substantial upside, but current profitability does not support premium FMCG valuations.
This reflects structural discounts due to tobacco exposure, regulatory risks, and lower FMCG margin profile.

ITC Limited – Investment Summary

NSE: ITC | FMCG / Tobacco Conglomerate |

CMP: ₹311 | Date: 4th May 2026 | Analyst: Prathamesh Rathod

INVESTMENT THESIS

1. Cigarettes contribute ~78% of EBIT despite 39% revenue share - profit concentration creates regulatory and ESG valuation risk
2. FMCG growing at 11% but EBIT margins at ~8% vs HUL's 22% - re-rating requires margin expansion not yet visible in cash flows
3. ITC trades at 20x P/E vs tobacco peers at 24x and FMCG peers at ~72x+ - conglomerate discount persists with no near-term catalyst
4. Hotels demerger removes earnings drag but makes cigarette profit dependency more pronounced going forward

KEY FINANCIALS (₹ Cr)

Metric	FY23	FY24	FY25	FY26E	FY27E	FY28E
Revenue	70,919	67,932	75,323	80,561	86,214	92,320
EBIT Margin	36.2%	37.1%	34.3%	33.8%	33.5%	33.3%
Adj. Earnings / NOPAT	19,192	20,459	19,600	20,400	21,665	23,032
FCFF	17,541	17,012	17,260	19,651	20,862	22,171
P/E (x)	-	-	20.1	19.3	18.2	17.1
EV/EBIT(x)	-	-	15.1	14.4	13.5	12.7

Note: Historical figures show Adjusted PAT; forecast figures show NOPAT (EBIT × 75%) as interest expense is not explicitly modeled.

VALUATION SUMMARY

Method	Implied Value	Vs CMP
DCF Base Case	254.73	-18%
Tobacco Comps P/E	₹375	+20%
FMCG Comps P/E	₹1,120	+260%
CMP	**₹311**	-

FMCG implied ₹1,120 highlights ITC is not valued as pure FMCG - tobacco discount is structural

SCENARIO ANALYSIS

Scenario	Key Assumption	Target Price
Bear	WACC 12%, g 3%, Slower FMCG	**₹216**
Base	WACC 11.29%, g 4%	**₹254.73**
Bull	WACC 10%, g 5%, FMCG 13%	**₹351**

Even in bull case upside only ~13% from CMP - asymmetric risk-reward, caution warranted

KEY RISKS

Risk	Description
Regulatory	Excise duty hikes on cigarettes compress margins and volumes instantly - ~78% EBIT dependency makes this existential
Execution	FMCG margin expansion uncertain — decade of investment with margins still at ~8% vs industry benchmark of 22%
ESG	Institutional and ESG funds increasingly exclude tobacco — structural ceiling on multiple expansion

Verdict

RECOMMENDATION: CAUTIOUS / HOLD

Intrinsic Value: **₹254.73** CMP: **₹311** Downside: -18%

Bull case upside (~13%) does not compensate for bear case downside (~30% to ₹217).

Market appears to be partially pricing future FMCG scaling and margin expansion ahead of current fundamentals